

► Parametric

Why Use a Professional Municipal Bond Manager?

Breaking down the potential value of professional active municipal bond management



Access

Professional managers can help investors get pricing and diversification benefits by accessing both the new-issue and secondary markets. During periods of elevated issuance, the benefit may be in the primary market. However, during periods of market volatility or depressed issuance, the benefit may be in the secondary market. The average spread pickup by accessing the better-valued market between primary and secondary was roughly 11 bps.¹

Estimated
potential value:

11 bps



Oversight

Our team of credit analysts have the potential to increase index yield to worst by moving into A rated municipal bonds. When looking at index data, A-rated municipals offer approximately 48 bps above AAA and AA-rated bonds.²

Estimated
potential value:

48 bps



Price

The average markup for retail trades is about 0.80%, or about 8 bps on a 10-year bond.³ By trading in institutional blocks, professional managers seek to avoid markups and pass the savings on to clients.

Estimated
potential value:

8 bps



Tax-loss harvesting

Year-round loss harvesting may elevate after-tax return potential. According to third-party research, tax management may add up to 30 bps in after-tax excess returns for fixed income portfolios.⁴

Estimated
potential value:

30 bps

Total potential estimated value proposition: 97 bps

The estimates provided herein are based on third-party data and research of Parametric. No representation is being made that an account's performance will be enhanced by the estimates provided. Investing entails risks and there can be no assurance that Parametric will achieve profits or avoid incurring losses.

This study did not involve Parametric of its clients. There is no guarantee that a tax-management strategy will result in increased after-tax returns. Results will differ based on an individual investor's circumstances. Rising interest rates could reduce the value of the bonds in the portfolio, thus adversely affecting the value of the overall investment. Product availability may vary by firm and platform. Investing entails risks and there can be no assurance that Parametric will achieve profits or avoid incurring losses. Past performance is no guarantee of future results.

¹ Source: Parametric. The average differential spread to MMD in the primary and secondary market, broken out by credit buckets, AAA, AA and A in the 5 to 15 year maturities. Data is from 12/31/2022 to 12/31/2023.

² Bloomberg as of 4/2/2024. 48 basis points is the 5-year average in yield increase between the Bloomberg A-rated municipal bond Index and the average of the Bloomberg AAA and AA rated municipal bond index.. It is not possible to invest directly in an index. Indexes are unmanaged and do not reflect the deduction of fees or expenses.

³ Source: MSRB Report on Secondary Market Trading in the Municipal Securities Market, 12/31/2019.

⁴ Andrew Kalotay, "Tax-efficient Trading of Municipal Bonds," Financial Analysts Journal 72, no. 1 (2016): 48-57.

The Parametric difference



PERSONALIZED PORTFOLIOS

A wide range of customization options allows for a targeted allocation to match each individual client's risk-and-return profile.



ADVANCED TECHNOLOGY

Parametric's proprietary technology efficiently identifies the most attractive securities and optimizes the overall bond investing process.



TAX EFFICIENCY

We aim for enhanced after-tax returns through our differentiated year-round tax-loss harvesting, which focuses on minimizing transaction costs and cash drag.



EXCEPTIONAL CLIENT SERVICE

Direct access to the portfolio management team helps keep investors and advisors connected and on top of market insights and recommendations.

Contact your sales representative at **800.836.2414** to discover how Parametric can help you and your clients.

ABOUT

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SMAs are subject to market risk, which is the possibility that the market values therefore be less than what you paid for them. Market values can change daily due to economic and other events (e.g. natural disasters, health crises, terrorism, conflicts and social unrest) that affect markets, countries, companies or of the securities in an account will decline and that the value of the securities may governments. It is difficult to predict the timing, duration, and potential adverse effects (e.g. portfolio liquidity) of events. Accordingly, you can lose money investing in an SMA. Investment strategies that seek to enhance after-tax performance may be unable to fully realize strategic gains or harvest losses due to various factors. Market conditions may limit the ability to generate tax losses. Tax-loss harvesting involves the risks that the new investment could perform worse than the original investment and that transaction costs could offset the tax benefit. Also, a tax-managed strategy may cause a client portfolio to hold a security in order to achieve more favorable tax treatment or to sell a security in order to create tax losses. Prospective investors should consult with a tax or legal advisor before making any investment decision.

Corporate debt securities are subject to the risk of the issuer's inability to meet principal and interest payments on the obligation and may also be subject to price volatility due to such factors as interest rate sensitivity, market perception of the creditworthiness of the issuer and general market liquidity. When interest rates rise, the value of corporate debt securities can be expected to decline. Debt securities with longer maturities tend to be more sensitive to interest rate movements than those with shorter maturities. Company defaults can impact the level of returns generated by corporate debt securities. An unexpected default can reduce income and the capital value of a corporate debt security. Furthermore, market expectations regarding economic conditions and the likely number of corporate defaults may impact the value of corporate debt securities.

Investment strategies that seek to enhance after-tax performance may be unable to fully realize strategic gains or harvest losses due to various factors. Market conditions may limit the ability to generate tax losses. Tax-loss harvesting involves the risks that the new investment could perform worse than the original investment and that transaction costs could offset the tax benefit. Also, a tax-managed strategy may cause a client portfolio to hold a security in order to achieve more favorable tax treatment or to sell a security in order to create tax losses. Prospective investors should consult with a tax or legal advisor before making any investment decision. Additional information is available upon request.

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